Principles of a Good Tax System

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Principles of a Good Tax System

A Bangladesh Perspective with Global Comparison

Course	Session	Institution	Date
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Roll No.	Name	Section Covered
25-62340-2	**Sami Shahriar Shishir**	Introduction & Schools of Thought
24-58749-2	**Abu Bakker Siddik Sani**	Why IMF & Revenue Adequacy
25-62797-2	**Kamrul Islam**	Equity & Efficiency
25-62632-2	**Md Mahibul Islam Zidan**	Simplicity & Administrative Feasibility
25-61858-2	**Afrin Hoque**	Scorecard, Comparison & Conclusion

1. Introduction

Taxation is the primary mechanism through which governments fund public goods and services. A well-designed tax system is not merely a revenue collection tool - it is a reflection of a society's values, priorities, and institutional capacity. For developing economies like Bangladesh, the design and performance of the tax system carries particular urgency, as inadequate revenue directly translates into underfunded schools, deteriorating infrastructure, and constrained development spending.

This report examines the principles of a good tax system using the International Monetary Fund (IMF) framework, which comprises five core criteria: Revenue Adequacy, Equity, Efficiency, Simplicity and Transparency, and Administrative Feasibility. Each principle is analysed in the context of Bangladesh's current fiscal reality and benchmarked against global examples to identify where the system succeeds, where it fails, and what reforms are necessary.

2. Theoretical Framework: Why the IMF Framework?

Two major frameworks guide the academic study of tax system design. The classical approach, rooted in Adam Smith's four canons of taxation — Equity, Certainty, Convenience, and Economy — provides timeless normative guidance. However, these canons were formulated in 1776 for a pre-industrial agrarian economy and lack the operational specificity required for modern governance.

The IMF framework, by contrast, was developed for contemporary economies across 190 member nations and explicitly addresses the realities of large informal sectors, weak administrative capacity, and development financing gaps. Crucially, Bangladesh is currently operating under a USD 4.7 billion IMF Extended Credit Facility programme initiated in 2023, with formal conditionalities tied to improving the tax-to-GDP ratio. The IMF framework is therefore not merely academically appropriate - it is the operational lens through which Bangladesh's own reform agenda is being evaluated.

3. Bangladesh: The Fiscal Context

Bangladesh's tax performance presents a stark picture. In FY2024-25, the tax-to-GDP ratio stood at just 6.6 percent - down from 7.7 percent in FY2022-23 - placing the country among the lowest-performing

economies in the world by this measure. The National Board of Revenue (NBR) missed even its revised collection target by Taka 926 billion, representing a 20 percent shortfall. A 2025 Centre for Policy Dialogue (CPD) report estimated that tax evasion alone cost the economy Taka 2.26 trillion in FY2023 - a figure exceeding half of total tax collected that year.

Only approximately 3.5 million individuals actively file income tax returns out of a population of 170 million. The informal economy, which accounts for approximately 85 percent of employment, operates almost entirely outside the tax net. These figures collectively indicate a tax system that is not merely underperforming at the margins - it is in systemic crisis.

4. Analysis: The Five IMF Principles

4.1 Revenue Adequacy. A tax system must generate sufficient revenue to finance government expenditure without unsustainable borrowing. Bangladesh fails this principle acutely. Its 6.6 percent tax-to-GDP ratio compares unfavourably with India at 12 percent, Vietnam at 18 percent, Germany at 24 percent, and the OECD average of 34 percent. The consequence is a chronic underfunding of public investment - manifesting in inadequate healthcare infrastructure, insufficient educational provision, and constrained development spending.

4.2 Equity. Equity has two dimensions. Horizontal equity requires that individuals with equal income pay equal tax. Vertical equity requires that higher earners bear a proportionally greater burden. Bangladesh violates both. VAT - a flat consumption tax - accounts for 38 percent of tax revenue, meaning a daily wage earner and a millionaire pay the same rate on essential goods. Income tax, the primary vehicle for progressivity, contributes only 2.62 percent of GDP, well below the South Asian average. The top marginal rate of 25 percent exists in statute but is weakly enforced. The system is, in practice, regressive - placing a disproportionate burden on lower-income households through consumption taxes while under-taxing capital and high incomes.

4.3 Efficiency. An efficient tax system minimises economic distortions. Bangladesh's complex, unpredictable tax environment incentivises businesses to remain informal, thereby shrinking the tax base. A corporate tax rate of 27.5 percent - among the highest in the region - coexists with among the lowest revenue yields, because widespread evasion and exemptions hollow out the base. Tax expenditures (exemptions and incentives) were estimated at 3.56 percent of GDP in FY2021, representing forgone revenue with questionable economic justification. The result is an efficiency trap: high rates drive informality, informality reduces revenue, and reduced revenue pressures policymakers to raise rates further.

4.4 Simplicity and Transparency. Tax compliance depends on the system being understandable. Bangladesh's tax code - only recently overhauled through the Income Tax Act 2023 — had been governed by a 1984 ordinance for nearly four decades. Filing remains procedurally complex, physically demanding, and susceptible to informal facilitation payments. The government does not publish annual tax expenditure reports, making it impossible for citizens or analysts to scrutinise the value of exemptions granted. By contrast, Estonia processes tax returns digitally in under five minutes with a 98 percent compliance rate, while Rwanda's simplification drive doubled its tax-to-GDP ratio within a decade.

4.5 Administrative Feasibility. The most elegantly designed tax law is worthless without enforcement capacity. NBR is significantly understaffed relative to the size and informality of the economy it must cover. Digitisation programmes - BITAX, electronic filing, Electronic Fiscal Devices — have existed since 2016 but remain underutilised. Manual, relationship-dependent processes leave the system vulnerable to corruption. Despite over fifteen years of reform programmes, the tax ratio has continued to fall, suggesting that the problem is not a shortage of policy intentions but a failure of implementation.

5. Bangladesh Tax System Scorecard

Principle	Rating	Key Evidence
Revenue Adequacy	**Very Poor**	Tax-to-GDP at 6.6%, falling. Tk 926B shortfall in FY2025.
Equity	**Poor**	VAT constitutes 38% of revenue. Direct tax only 2.6% of GDP.
Efficiency	**Mixed**	High corporate rates but 85% informal employment and rampant evasion.
Simplicity & Transparency	**Poor**	Only 3.5M active taxpayers. No annual tax expenditure report.
Administrative Feasibility	**Improving**	BITAX and e-filing exist but adoption remains critically low.

Table 1: Assessment of Bangladesh's tax system against the five IMF principles. Source: Authors' analysis based on NBR, CPD, World Bank, and IMF data (2023–2025).

6. Global Comparison

The following table contextualises Bangladesh's tax-to-GDP ratio within a global and regional framework.

Country	Tax-to-GDP (%)	Category
Bangladesh	**6.6%**	**South Asia — Lowest**
Pakistan	9.5%	South Asia
Sri Lanka	11%	South Asia
India	12%	South Asia
Thailand	17%	Southeast Asia
Vietnam	18%	Southeast Asia
Germany	24%	Advanced Economy
Denmark	46%	Advanced Economy — Highest

Table 2: Tax-to-GDP ratio comparison. Sources: World Bank, IMF, CEIC, CPD. Latest available data (2023–2025).

Bangladesh collects less than one-seventh of Denmark's tax ratio and less than half of India's — both as a share of their respective economies. Notably, Vietnam and Thailand are developing economies that have successfully built more effective tax systems through administrative reform and base broadening, demonstrating that low income does not preclude higher revenue effort.

7. Policy Recommendations

The evidence presented points to four priority reform areas for Bangladesh.

Widening the Tax Net. The most urgent structural reform is bringing the informal sector into the tax system. Simplified presumptive taxation a low, fixed annual payment for small businesses in lieu of complex filings has proven highly effective in Rwanda and Kenya, both of which rapidly expanded their taxpayer bases. A similar approach in Bangladesh could meaningfully increase the number of contributing taxpayers without imposing prohibitive compliance costs.

Rebalancing Direct and Indirect Taxation. Reducing reliance on regressive VAT in favour of a stronger, properly enforced progressive income tax is essential for both equity and long-term revenue sustainability. A target of raising direct tax from 2.6 to 5 percent of GDP within five years is ambitious but consistent with regional peers and with the IMF's conditionality framework.

Digitisation and Data-Driven Enforcement. Bangladesh possesses an underutilised enforcement asset: the digital financial infrastructure of mobile banking platforms such as bKash and Nagad. Cross-referencing tax declarations with transaction data, land records, and vehicle registration — as Brazil does with bank records — would dramatically improve audit targeting and deter evasion without requiring proportional increases in staff.

Rationalising Exemptions and Improving Transparency. Tax expenditures amounting to 3.56 percent of GDP represent a substantial and inadequately scrutinised allocation of public resources. Publishing annual tax expenditure reports, capping sector-specific exemptions, and subjecting them to sunset reviews would both improve revenue adequacy and restore public trust in the fairness of the system.

8. Conclusion

A good tax system is not merely an administrative mechanism — it is a social contract. Citizens accept the obligation to pay taxes when they believe the system is fair, understandable, and that their contributions fund meaningful public services. By the five standards of the IMF framework, Bangladesh's tax system currently fails to honour that contract on most counts.

Revenue adequacy is critically low and declining. Equity is compromised by over-reliance on regressive consumption taxes and weak enforcement of progressive income taxation. Efficiency is undermined by a structural trap of high rates and a dominant informal sector. Simplicity and transparency remain aspirational rather than operational. Administrative capacity, while improving on paper, has yet to produce measurable results in revenue performance.

None of these problems are insurmountable. Rwanda, a lower-income economy, doubled its tax ratio through sustained administrative reform. Estonia transformed compliance through digital simplicity. The knowledge, the precedents, and in Bangladesh's case, the IMF-supported reform framework, all exist. What remains is the institutional commitment to move from policy to practice — and to treat tax reform not as a fiscal inconvenience, but as a foundational investment in the country's future.

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